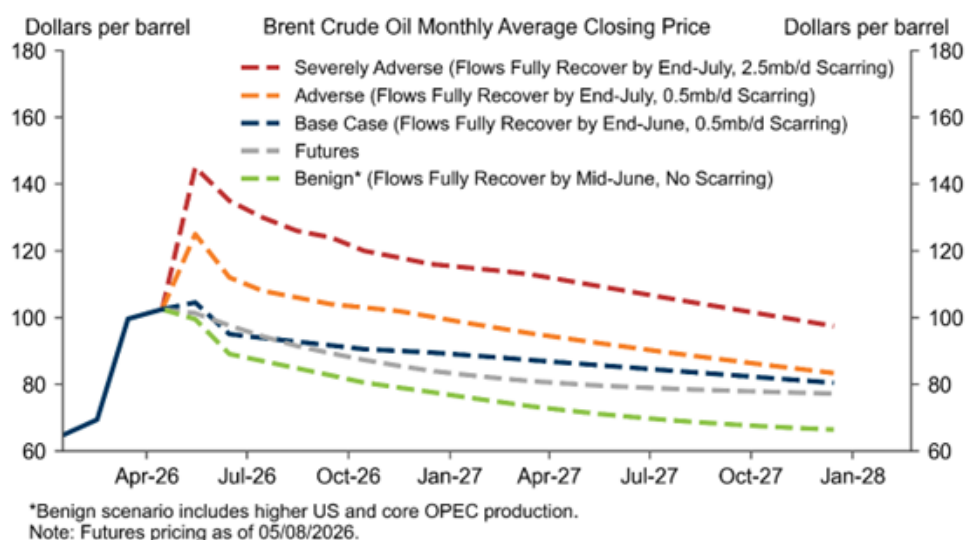


Global Views: Bending, Not Breaking

1. We see three reasons why the 10-week closure of the Strait of Hormuz has hurt global growth only moderately so far. First, oil prices have not risen as much as expected, partly because of unusually high pre-war inventories and partly because markets never lost faith that very large consumer price hikes would prompt a US policy shift. Second, physical shortages in areas such as jet fuel have so far been met with relatively painless forms of demand destruction (e.g. a large shift to renewables in China and reduced flight schedules on lower-value routes globally). Third, fiscal policy, the AI boom, and—with a brief interruption in March—financial conditions have been supportive all year. Under our baseline assumption of a gradual Strait reopening that starts soon and finishes in late June, we see Brent prices stable in the near term and edging down to \$90/barrel by year-end. However, the risks remain tilted toward more adverse outcomes, higher oil prices, and greater economic damage.

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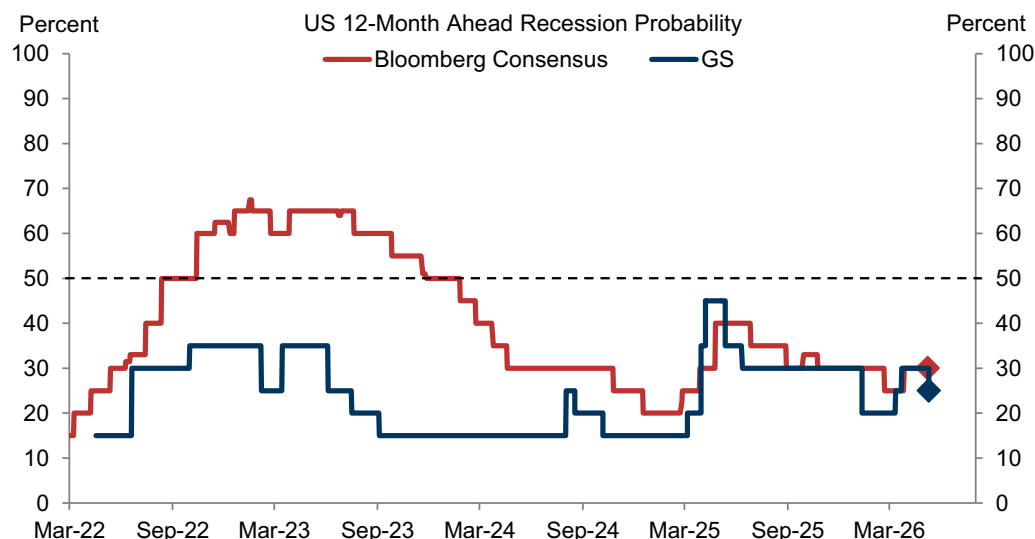
Exhibit 1: Oil Price Risks Still Skewed to the Upside



Source: Goldman Sachs Global Investment Research

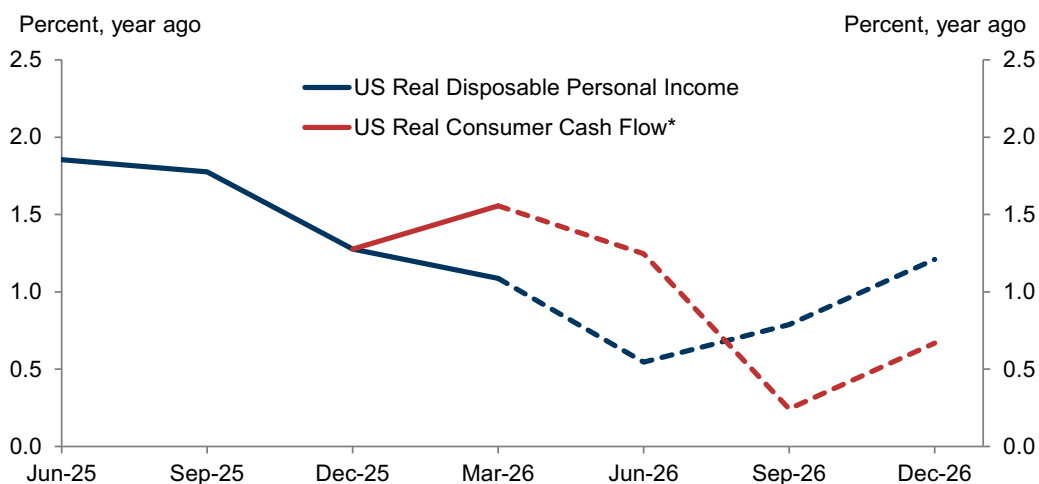
2. We have shaved our 12-month US recession probability from 30% to 25% as economic activity has held up well and our financial conditions index has eased back below pre-war levels. While headline GDP growth fell short of expectations in Q1, private domestic final sales grew at a solid 2.5% in real terms. Moreover, the labor market news has mostly beaten expectations, with a bigger-than-expected 115k increase in nonfarm payrolls in April, a stable 4.3% unemployment rate, and a sharp decline in jobless claims.

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Exhibit 2: Recession Risk Looks Incrementally Lower

Source: Bloomberg, Goldman Sachs Global Investment Research

3. But our recession risk estimate remains 5pp above the pre-war level and 10pp above the unconditional long-term average. Moreover, our baseline forecast entails below-trend growth in coming quarters, mainly because consumers face weakness in real disposable personal income and real cash flow. The boost to cash flow from strong tax refunds is about to fade, and the drags from higher gas prices, slowing nominal wage gains, and reduced healthcare subsidies are likely to persist. With the personal saving rate already down to 3.6%, the lowest level in three years, weaker income and cash flow is likely to translate into weaker consumer spending.

Exhibit 3: Real Income and Cash Flow Are Likely to Soften in H2

Note: Dashed lines indicate GS forecasts.

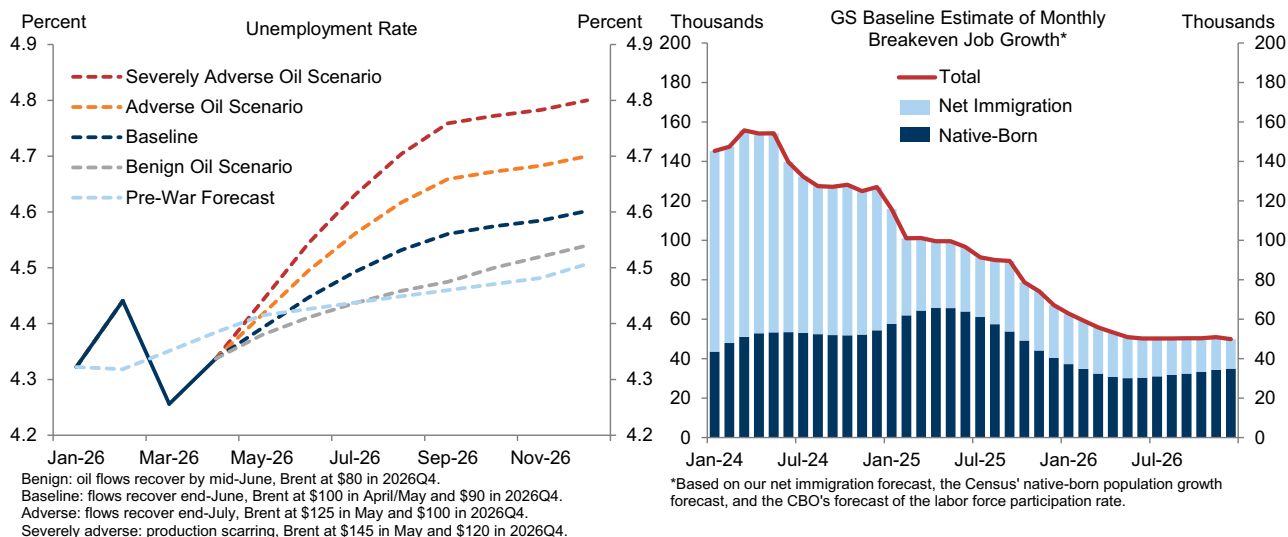
*Adjusted for the timing of OBBBA-related boosts to tax refunds and reductions in tax payments.

Source: Haver Analytics, Bureau of Economic Analysis, Goldman Sachs Global Investment Research

4. Beyond the weaker growth outlook, there are two other reasons why the US unemployment rate is likely to drift higher. First, US productivity has already accelerated from a 1.5% trend before the 2020 pandemic to 2.1% since then, and the improvement

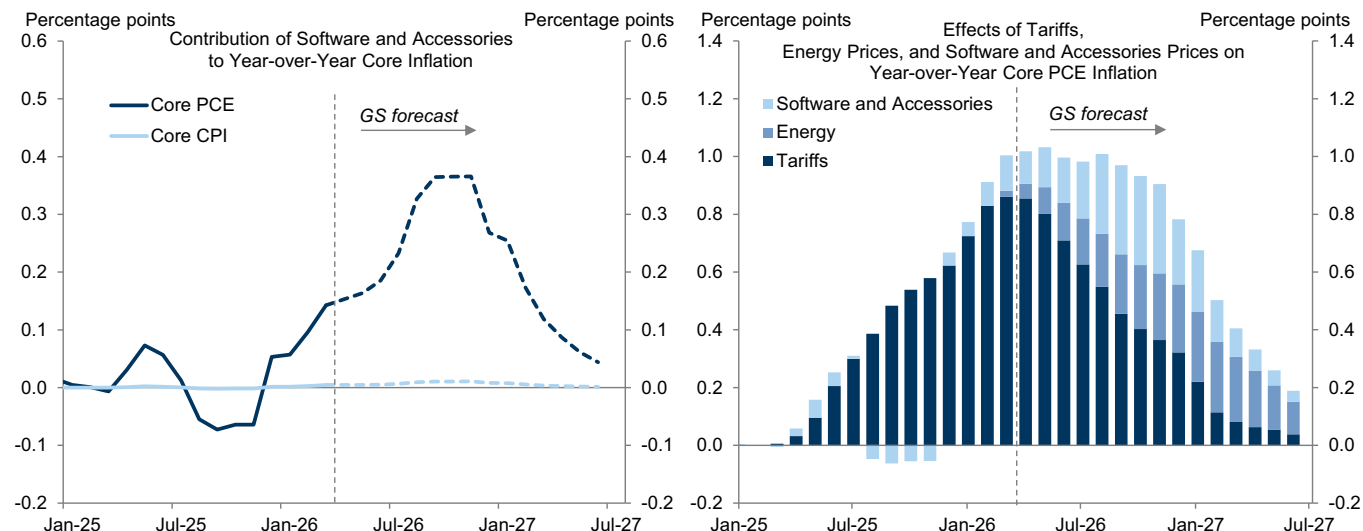
is likely to continue as the AI impact broadens. This means fewer new jobs for any given GDP increase. Second, we believe the Fed staff and many private-sector analysts have overshot in revising down their estimates of the “breakeven” rate of payroll growth to around zero. Our estimate of around 50k is consistent with the fact that the unemployment rate has fallen by only a few basis points on net this year, despite average payroll growth currently reported at 76k.

Exhibit 4: Unemployment Likely to Rise, in Part Because Breakeven Payroll Pace Remains Positive



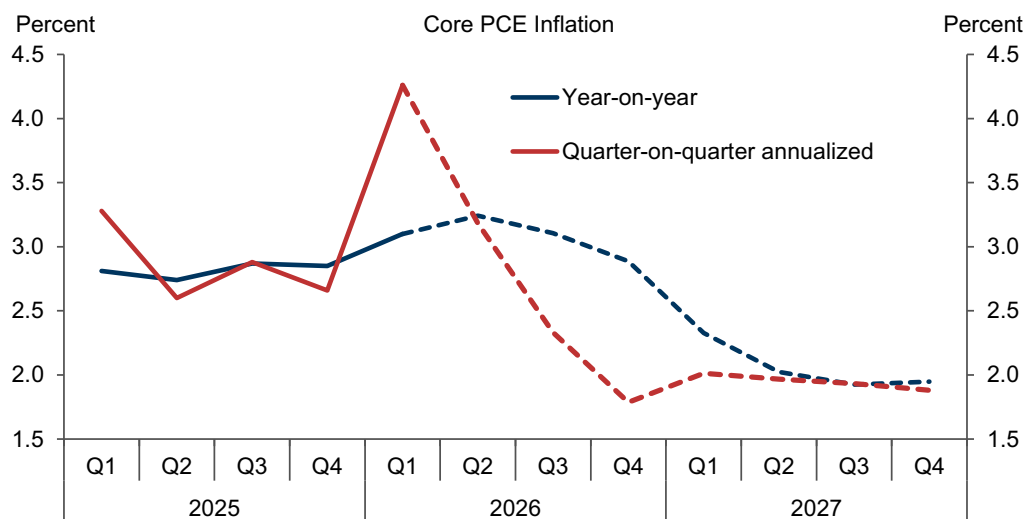
Source: Goldman Sachs Global Investment Research

5. Two distortions related to the AI boom have worsened the near-term outlook for core PCE inflation. First, after adding new AI features to software packages such as MS Office, Microsoft and other firms now charge a higher price for the new bundle than for the prior standalone package. The official statistics don't adjust for the expanded offering and thus incorrectly treat this as a pure price increase. Second, the combined weight of software and accessories—where prices have also surged on the back of costlier memory—is 30x higher in PCE than CPI, apparently because the underlying survey incorrectly captures not only consumer demand but also some demand from small businesses. Together, these distortions are likely to boost the year-on-year rate of core PCE inflation by 0.4pp later this year. Combined with an estimated 0.3pp pass-through from higher energy prices, this will delay the renewed core PCE disinflation we have been expecting.

Exhibit 5: Software Is Yet Another Transitory Inflation Shock

Source: Haver Analytics, Goldman Sachs Global Investment Research

6. The longer-term outlook for core PCE inflation is better. While the boosts from tariffs, energy, and software/accessories should fade over the next year, two key drags are likely to remain in place. First, rent inflation should continue to slow as the official CPI/PCE shelter data catch up with market rents, which remain weak because investors overbuilt apartments in the immediate post-pandemic era in several markets (especially in the Sun Belt). Second, the labor market is a source of disinflation, with nominal wage growth of 3.6% year-on-year based on our GS wage tracker and unit labor costs growing just 1.2% year-on-year in Q1. We therefore see sequential core PCE inflation returning to 2% later in 2026, though the year-on-year rate is unlikely to get back to target until mid-2027.

Exhibit 6: Core PCE Inflation Should Look Better by Year-end, Especially in Sequential Terms

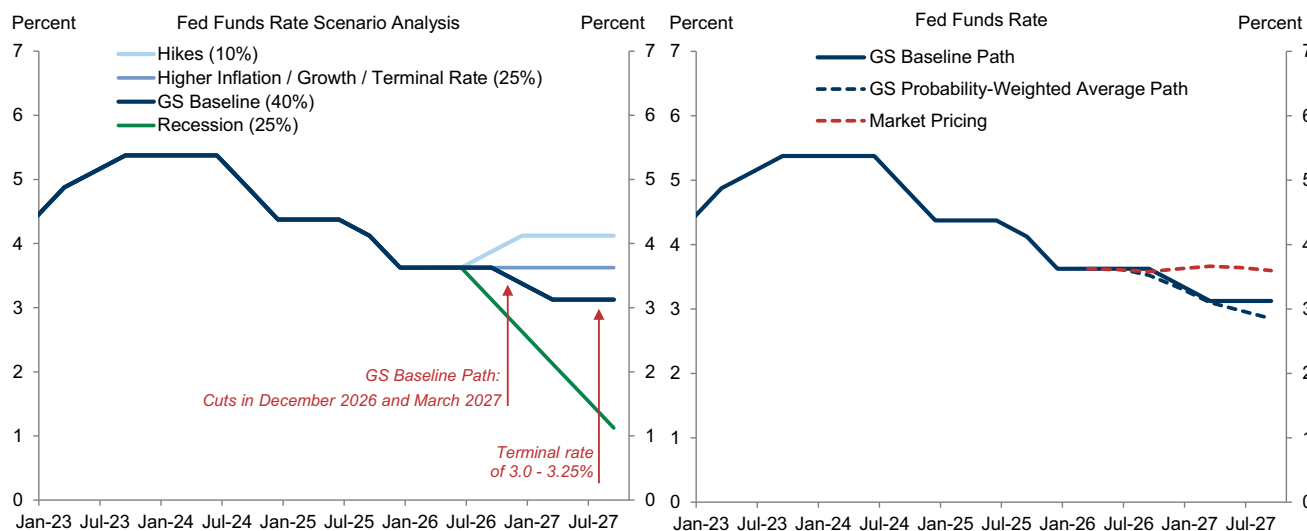
Note: Dashed lines indicate GS forecasts.

Source: Haver Analytics, Goldman Sachs Global Investment Research

7. Upside PCE inflation surprises, better labor market data, and growing hawkishness within the FOMC have led us to delay our forecast for two more 25bp normalization cuts

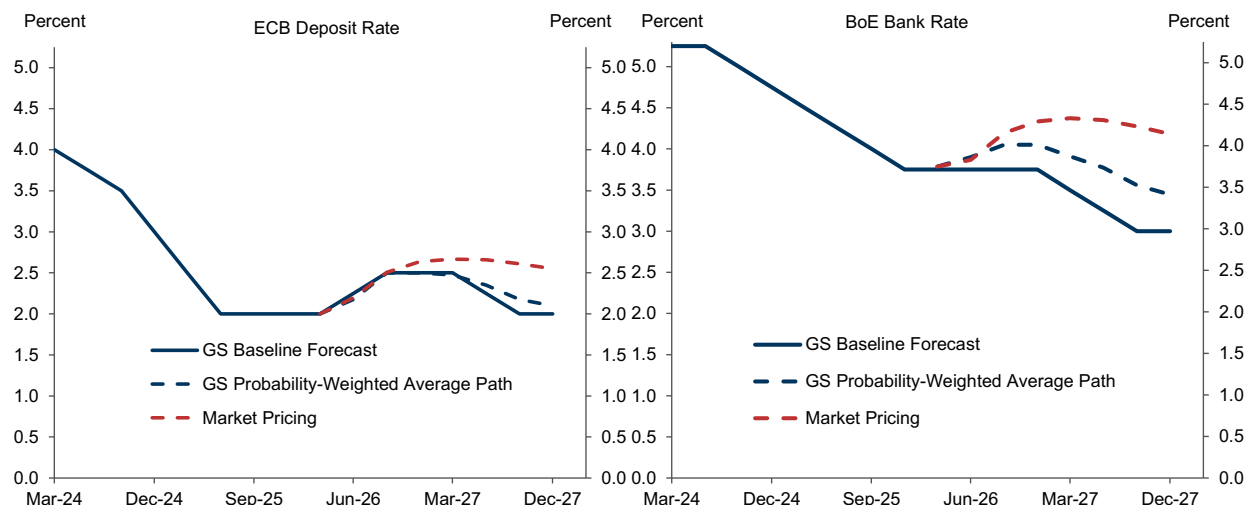
to December 2026 and March 2027. However, our forecast remains below market pricing, especially in probability-weighted terms. One important question will be the Fed leadership transition. We doubt the committee would endorse Kevin Warsh's earlier call for cuts in anticipation of AI-driven disinflation. But his more recent argument that trimmed-mean PCE—which is running 0.8pp below core PCE—is a better measure because it is less sensitive to one-time price shocks seems more promising. After five years of above-target inflation, most sitting Fed officials are reluctant to make this argument publicly, lest they be accused of cherry-picking. But many probably agree with it tacitly and might be persuaded to do so more openly alongside a new Chair.

Exhibit 7: Fed Cuts on a More Delayed Schedule



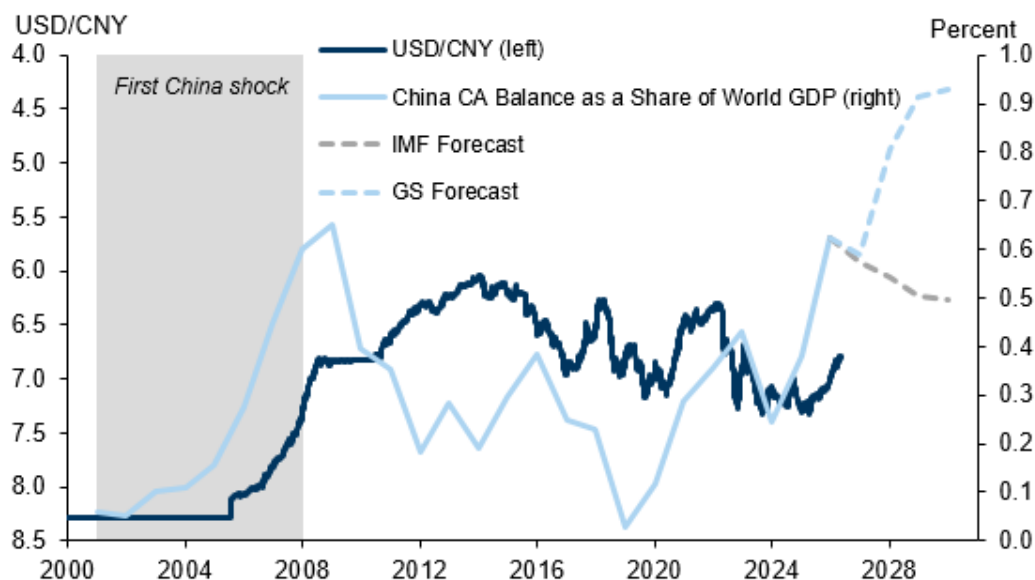
Source: Bloomberg, Goldman Sachs Global Investment Research

8. We still expect the ECB to deliver two 25bp hikes soon—probably in June and September—because of the low 2% starting point for the deposit rate and the historical tendency to (over)react hawkishly to oil-driven headline inflation shocks. However, the risk is on the side of no hikes because core inflation remains very well-behaved so far and ECB officials as a group are more open-minded about core vs. headline than in the pre-Draghi days. In any case, we think that any near-term hikes would probably be unwound in 2027. Across the Channel, we don't see hikes from the BoE in our baseline—in part because Bank Rate at 3.75% is clearly in restrictive territory—but they do constitute a meaningful hawkish risk.

Exhibit 8: We See the ECB Hiking and the BoE on Hold, But Our Views Are Dovish Relative to Market Pricing in Both Cases

Source: Bloomberg, Goldman Sachs Global Investment Research

9. In the run-up to this week's Trump-Xi summit, China's economy continues to benefit from strength in the export-oriented goods sector. This kept Q1 GDP growth at 5.0% year-on-year and our 2026 forecast at 4.7%, but the economy remains very unbalanced. While higher prices for imported energy should temporarily halt the increase in the current account surplus this year, we expect the combination of strong production and sluggish demand to push it further into unprecedented territory as a share of global GDP in subsequent years. The clearest market implication is that CNY is undervalued, especially against the US dollar where our FX strategists estimate a gap of more than 20% and have doubled down on their forecast of significant appreciation, with a new target of 6.50 in 12 months.

Exhibit 9: China's Record Current Account Surplus Should Boost the CNY

Source: Goldman Sachs FICC and Equities, Haver Analytics, IMF, Goldman Sachs Global Investment Research

10. If we wrote down the most frequent topics in discussions with market participants, the vast majority would be negative—an unprecedented oil supply shock, large fiscal

deficits, questions about Fed independence, population shrinkage, cyber/AI security risks, US-China rivalry, and the biggest war in Europe since WW2, amongst others. Moreover, equities are far from cheap. So why have they performed so well? The likely answer is the strength of the Q1 earnings season combined with the improving long-term outlook for productivity and thus profits on the back of the AI revolution. The latter is especially important in the US market, where our strategists estimate that earnings and dividends a decade or more in the future represent roughly 75% of fundamental value. That said, a market where the baseline is positive but the risks are so asymmetrically negative argues for combining long risk position with an exposure to equity volatility or significant hedges (our cross-asset strategists recommend equity puts struck deeply out of the money).

Jan Hatzius

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Reg AC

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